# SAINT MICHAEL COLLEGE OF CARAGA

**ASSESSING THE INFLUENCE OF ENTREPRENEURIAL CAPABILITY ON CUSTOMER SATISFACTION AMONG MICRO ENTERPRISES**

A Thesis Proposal To
The Faculty of
College of Business Management and Accountancy

In Partial Requirements for the Degree
BACHELOR OF SCIENCE IN ENTREPRENEURSHIP

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NOVEMBER 2025

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College Of Business Management And Accountancy

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## TABLE OF CONTENTS


| | | Pages |
|---|---|---|
| TITLE PAGE | | i |
| CERTIFICATE OF PANEL APPROVAL | | ii |
| TABLE OF CONTENTS | | iii |
| LIST OF TABLES | | vi |
| LIST OF FIGURES | | vi |
| CHAPTER | | |
| 1 | **THE PROBLEM AND ITS SCOPE** | |
| | 1.1 Background of the study | 1 |
| | 1.2 Review of Related Literature | 3 |
| | 1.3 Theoretical Framework | 25 |
| | 1.4 Schematic Diagram | 28 |
| | 1.5 Statement of the Problem/ Objectives of the Study | 29 |
| | 1.6 Scope and Limitations | 30 |
| | 1.7 Hypothesis | 30 |
| | 1.8 Definition of Terms | 31 |
| 2 | **RESEARCH METHODOLOGY** | |
| | 2.1 Research Design | 35 |
| | 2.2 Research Locale | 35 |
| | 2.3 Research Environment, Population, and Sample | 37 |
| | 2.4 Research Data and Analysis Plan | 39 |
| | 2.5 Research Ethical Standards | 41 |
| REFERENCES | | 52 |

CURRICULUM VITAE 59

## LIST OF TABLE

| Table | | Pages |
|---|---|---|
| 1 | Research Respondents | 36 |

## LIST OF FIGURE


| Table | | Pages |
|---|---|---|
| 1 | Schematic Diagram | 28 |

# CHAPTER 1

# THE PROBLEM AND ITS SCOPE

## 1.1 Background of the Study

Entrepreneurial capability, often described as a set of skills, knowledge, adaptive or dynamic capabilities, and innovation, enables firms to recognize opportunities, and create business value. Hu et al. (2022). Studies have linked entrepreneurial capability to improved firm performance, innovation adoption, and customer-oriented outcomes, particularly among SMEs and micro firms in developing contexts (Hang et al., 2024). (Taleb et al., 2023) show that entrepreneurs who excel at opportunity recognition, practice continuous innovation, make informed strategic decisions, and develop strong adaptive capability are more likely to achieve sustained entrepreneurial success. The relationship between entrepreneurial capabilities and customer satisfaction is both complex and dynamic, encompassing dimensions such as customer relationship management, innovation, and adaptive strategies. Entrepreneurs who cultivate robust capabilities are more capable of developing customer-centric approaches that enhance satisfaction (Guerola-Navarro et al., 2022). Likewise, micro enterprises that invest in entrepreneurial skills and innovation are better equipped to meet evolving customer expectations and maintain competitiveness in challenging environments (Kalathingal & Ambrammal, 2025).

Customers are the lifeblood of any business, and their happiness is crucial to the company's success. Business owners must meet their customers' expectations to ensure satisfaction, which is fundamental for business continuity. Zhong & Moon (2020) show that strong service quality improves customer satisfaction, which then encourages customer loyalty and repeat patronage, while perceived price also shapes whether customers feel their expectations are met. The goal of every entrepreneur is to maintain customer comfort, as satisfied customers are more likely to return and attract others. A business can only thrive when its customers are

happy, and improvements in customer satisfaction are often driven by deliberate strategic efforts (Leung, 2020). Many entrepreneurs lose customers because they fail to build strong relationships or attract new ones, emphasizing the importance of consistently meeting customer needs to foster long-term success.

In the Philippine context, Flaminiano et al. (2021) note that during the COVID-19 pandemic, many MSMEs quickly adapted to changing conditions, made strategic decisions to navigate challenges, and applied innovative approaches to maintain business continuity and resilience. Tagalog & Murcia (2024) found that higher entrepreneurial capability in MSME owners enhances their ability to innovate and adapt to market changes. Cordova et al. (2024) emphasize that consistently delivering quality service strengthens customer satisfaction, which in turn encourages loyalty and repeat patronage. Anthony Pelegrin et al. (2022) report that micro enterprises with a strong entrepreneurial orientation are more likely to achieve sales growth and sustain a competitive advantage. Opportunity recognition enables entrepreneurs to identify viable ventures, while environmental factors influence how these opportunities emerge Prabha (2023) Strategic decision making, shaped by cognitive and emotional factors such as attention, memory, and judgment, contributes to improved entrepreneurial performance (Feng et al., 2022) Finally, adaptive capability further reinforces entrepreneurial orientation, supporting innovation and providing a competitive edge in dynamic business environments (Bouhalleb, 2024; Shinta Dewi et al., n.d.)

Entrepreneurial capability has become essential for micro enterprises as they work to meet changing customer needs and stay competitive. Recent studies show that strong opportunity recognition, innovation, and adaptable decision-making help entrepreneurs improve customer value and business performance Alshagawi and Mabkhot (2024) and Chen et al. (2020) emphasized that customer satisfaction is a major driver of loyalty and repeat patronage, especially

for small businesses that rely on consistent service quality Cordova et al. (2024). noted that despite the recognized importance of entrepreneurial capability in business performance, limited research directly examines its influence on customer satisfaction among service-based micro enterprises, particularly in local Philippine contexts. While previous studies highlight the role of entrepreneurial capability in business performance, limited research directly examines how specific entrepreneurial capabilities influence customer satisfaction among service-based micro enterprises in local Philippine settings. In Buenavista, Agusan del Norte, the lack of localized evidence on how opportunity recognition, innovation, strategic decision-making, and adaptive capability affect key customer satisfaction outcomes highlights the need for this study to provide context-based insights for improving micro-enterprise practices and entrepreneurship education

This study is significant to service-based micro-enterprise owners in Buenavista, Agusan del Norte, as it provides localized evidence on how entrepreneurial capability particularly opportunity recognition, innovation, strategic decision-making, and adaptive capability influences customer satisfaction in service-oriented businesses. The findings can help owners improve service quality, strengthen customer relationships, and encourage repeat patronage within the local market. Customers benefit from more responsive and reliable service experiences that better meet their expectations. For local policymakers and business support institutions, the results offer empirical input for developing targeted programs suited to the needs of service-based micro-enterprises in Buenavista. The study supports BSBA and entrepreneurship programs by offering practical evidence that helps students and faculty connect theory to practice, develop relevant skills, and design program activities that better prepare graduates for managing and growing local micro-enterprises. Future researchers may use this study as a reference for related local and service-based research.

**1.2 Review of Related Literature**

This chapter reviews related studies on the research variables. It discusses the independent variables, including the respondents' demographic profile (age, sex, educational attainment, and business type), and the dependent variable, customer satisfaction, focusing on service quality, customer loyalty, repeat patronage, and meeting expectations. It also highlights research gaps and provides a foundation for understanding how entrepreneurial competencies enhance customer experiences among micro enterprises.

Entrepreneurial capability plays a critical role in driving firm performance by enabling businesses to recognize opportunities, foster innovation, make strategic decisions, and adapt to changing environments, thereby ensuring organizational stability (Amoguis, 2024)(Belitski & Sikorski, 2024) argue that dynamic capabilities manifested in sensing, seizing, and reconfiguring enhance a firm's adaptability, creative capacity, opportunity recognition, and resilience, especially in changing institutional contexts. Moreover, entrepreneurial leadership significantly contributes to business success, as it enhances opportunity recognition, promotes innovation, supports strategic decision-making, and facilitates adaptability (Taleb et al., 2023). Together, these studies underscore that entrepreneurial capability, opportunity recognition, innovation, and strategic decision-making/adaptability are deeply interconnected and vital for small and micro enterprises to navigate dynamic business environments.

Customer satisfaction is a multifaceted construct that occurs when service quality meets or exceeds customer expectations, and it directly influences behavioral outcomes such as customer loyalty and repeat patronage. Studies have shown that service quality plays a critical role in shaping customer satisfaction, which in turn drives loyalty and repeat purchase intentions Halim et al. (2025) found that satisfaction results from the comparison between perceived performance and expectations, highlighting that meeting customer expectations is a central determinant of

satisfaction Silva (2020) explained that customer satisfaction serves as the foundation for fostering repeat patronage and loyalty, reinforcing the interconnected nature of these elements in ensuring long-term business success Kurniawan et al. (2025) emphasized that service quality and loyalty are integral to customer satisfaction.

Entrepreneurial capability plays a vital role in enhancing customer satisfaction by promoting innovation and responsiveness to changing market demands. According to Cuevas-Vargas et al. (2019), stated that entrepreneurial orientation strengthens business performance both directly and indirectly through customer satisfaction, emphasizing that proactive and innovative actions improve customers' perception of value. Similarly, Bekata & Kero (2025) revealed that entrepreneurial and customer orientations positively influence SME performance through innovation, indicating that entrepreneurs who effectively combine innovation with customer focus are more likely to achieve higher satisfaction levels. Together, these findings highlight that entrepreneurial capability enhances customer satisfaction by enabling firms to innovate strategically and adapt to customer needs more effectively.

**Opportunity Recognition**

Opportunity recognition is widely considered a fundamental component of entrepreneurial capability, serving as the critical precursor to all subsequent business actions. It refers to the cognitive process by which entrepreneurs detect or create a fit between a market need and a novel configuration of resources to deliver value (Soelaiman & Liediana, 2021). This capability is not merely an act of discovery but often involves, stemming from the entrepreneur's unique prior knowledge, alertness, and social networks (Hussain et al., 2024). For micro enterprises, this ability to identify viable business opportunities in a resource-constrained environment is paramount for survival and growth, as it dictates the nature of the products, services, or business models the firm will pursue (Munawar, 2025). Ultimately, a strong capability

for opportunity recognition is the key resource that enables the micro-entrepreneur to adapt to market dynamism and gain a competitive edge.

The recognition of opportunities directly fuels the innovation capacity of micro, small, and medium enterprises (MSMEs). Research demonstrates a strong link between entrepreneurial orientation (which includes a focus on opportunity-seeking) and the ability to detect and exploit opportunities effectively (Munawar, 2025). Furthermore, studies focusing on MSMEs during turbulent times, such as the COVID-19 pandemic, have highlighted that the entrepreneur's ability to "read the opportunities" and leverage resources proactively is essential for sustaining and improving performance (Alshagawi & Mabkhot, 2024). For micro enterprises, opportunity recognition is often intertwined with their service innovation and product innovation efforts, suggesting that new ideas based on market needs are the basis for differentiating their offerings from competitors (Sari, 2023). *An entrepreneurial mindset characterized by opportunity identification and proactive behavior is a core component of Strategic Entrepreneurship… this proactive capability is vital for micro-enterprises to adapt quickly, secure resources, and innovate essential steps for ensuring survival and growth*

The connection between opportunity recognition and customer satisfaction lies in the entrepreneur's ability to transform recognized gaps in the market into unique value propositions. A key finding is that opportunities are often identified by sensing or recognizing unmet customer needs and desires (Soelaiman & Liediana, 2021). By successfully recognizing these needs, micro enterprises can develop products, services, or delivery models that provide superior customer value, leading to greater satisfaction (Chen et al., 2020). This proactive approach, driven by opportunity recognition, enables the enterprise to move beyond simply reacting to competition and instead to establish a position based on unique benefits, such as, all of which are significant drivers of customer satisfaction (Rahman et al., 2023).

Empirical studies consistently support the positive influence of opportunity recognition on entrepreneurial success and performance, particularly within the context of MSMEs. Masiko et al. (2024), for instance, empirically confirmed that the opportunity recognition competence of women entrepreneurs significantly affects the performance of their enterprises. Similarly, other research on MSMEs highlights that the serial mediation of entrepreneurial opportunity recognition and innovation capability is crucial in achieving entrepreneurial success (Taleb et al., 2023b). While direct studies explicitly linking Opportunity Recognition to Customer Satisfaction among micro enterprises are less common, the established link between opportunity recognition, innovation, customer-perceived differences, positive feedback and repeat purchases (Sari, 2023) provides a strong theoretical basis for the proposed relationship in this study.

While the literature establishes opportunity recognition as a vital capability for entrepreneurial performance and innovation (Munawar, 2025), a specific and direct empirical investigation into its influence on customer satisfaction within the distinct context of micro enterprises remains underexplored. Existing research often measures broader outcomes like “firm performance” or “success” (Masiko et al., 2024) or focuses on the general relationship between innovation and customer satisfaction (Rahman et al., 2023). Therefore, this study is justified in its attempt to specifically assess how the micro-entrepreneur’s competency in opportunity recognition, as a core entrepreneurial capability, directly and indirectly shapes customer satisfaction levels, thereby enriching the understanding of value creation in the micro enterprise sector.

**Innovation**

For micro enterprises, this capability is particularly vital as they often possess limited resources, requiring the entrepreneur to leverage ingenuity to differentiate their offerings. Recent studies emphasize that these characteristics are not just advantageous but are necessary for

survival, especially in the wake of economic disruptions like the global pandemic, where the ability to introduce new ways of doing business determines resilience and success (Saptono et al., 2024).

The literature consistently highlights a positive and significant relationship between a micro enterprise's innovation and creativity and its level of customer satisfaction. Innovative activities, particularly product innovation, directly influence consumer satisfaction by providing goods or services that possess unique values and benefits not offered by competitors (Nava Wardana et al., 2023). Customers in the modern market are increasingly drawn to enterprises that offer inventive and unique products with alluring characteristics, setting high expectations for quality and novelty. When a micro enterprise successfully translates its creative ideas into innovative products, it effectively meets or exceeds these high customer expectations, which is the very definition of satisfaction. This capacity for novel offerings helps micro enterprises to not only attract but also retain customers, ultimately building customer loyalty, which is crucial for long-term viability (Putera et al., 2021).

This continuous process of generating and implementing unique ideas is critical for solving problems and adapting to changing customer demands, thus offering a competitive edge. This enhanced competitive positioning, gained through a sustained flow of creative and innovative outputs, translates directly into superior non-financial performance metrics, notably customer satisfaction (Vuong, 2025).

**Strategic Decision Making**

The intersection of entrepreneurial capability, strategic decision-making, and customer satisfaction is a crucial area of study for micro-enterprises, particularly in dynamic and challenging environments. Furthermore, an entrepreneurial mindset characterized by opportunity identification and proactive behavior is a core component of Strategic Entrepreneurship, a process that integrates entrepreneurial action with strategic management. According to Arifyanto et al.

(2021), this proactive capability is vital for micro-enterprises to adapt quickly, secure resources, and innovate essential steps for ensuring survival and growth.

Strategic decision-making serves as a critical link through which entrepreneurial capabilities are translated into market outcomes. In the context of micro-enterprises, this involves critical choices about resource allocation, market positioning, and product/service innovation. Studies show that a deliberate strategic planning process can significantly impact a micro-enterprise's success by providing a roadmap for goal achievement and efficient resource use (Grant, 2022). However, the optimal approach to strategic decision-making may vary based on the operating environment. For example, during periods of high uncertainty like the COVID-19 pandemic, research on small businesses found that while openness in entrepreneurs positively impacted performance, a lengthy, comprehensive decision-making process could actually have a negative effect, suggesting that rapid and adaptive decision-making is often more critical than detailed deliberation for vulnerable firms (Mu et al., 2022).

The final and paramount outcome for any customer-facing micro-enterprise is customer satisfaction, which is the direct result of a comparison between customer expectations and the actual performance or quality of the product or service (Ramadhaniati et al., 2020). Strategic decisions rooted in entrepreneurial capability directly impact the factors that drive this satisfaction. Furthermore, the strategic adoption of non-financial metrics, particularly consumer metrics, is increasingly recognized as vital for service-oriented micro-enterprises to accurately assess their market position and inform customer-centric strategic choices (Melović et al., 2021). In line with this, strategic planning has been shown to enhance both financial and nonfinancial performance, indicating that major business decisions are guided by long-term outcomes that support sustainable customer satisfaction(Mousa et al., 2024)

Micro-enterprise's entrepreneurial capability enhances its strategic decision-making, which in turn directly and indirectly fosters customer satisfaction by driving customer-focused innovation and service delivery. While studies have explored the positive effects of entrepreneurial orientation on firm performance, and performance is linked to customer satisfaction (Bekata & Kero, 2025), the precise mechanism by which strategic decisions explicitly mediate or moderate the relationship between entrepreneurial capability and customer satisfaction in the micro-enterprise sector remains a focused area for investigation. This current research aims to solidify this understanding, providing a clearer conceptual model for how micro-enterprise owners can leverage their innate abilities through strategic action to achieve superior customer outcomes.

**Adaptive Capability**

For micro-enterprises, where the owner often embodies the entire strategic direction and operational execution, these personal capacities are inextricably linked to organizational performance. This high-level capability is the foundation upon which customer-centric strategies and operational excellence are built. Basu et al. (2022) further conceptualized this as 'entrepreneurial adaptation', showing how adaptive capabilities help sustain entrepreneurship in challenging environments. (Shinta Dewi et al., 2020) specifically highlighted that adaptive capability positively influences innovation and competitive advantages, supporting the dynamic view that competitive success comes from the ability to change and adapt to environmental shifts. Entrepreneurial capability, encompassing the skills, competencies, and strategic mindset of micro-enterprise owners, is increasingly recognized as a vital determinant of business success, particularly in dynamic and turbulent markets (Soomro et al., 2025).

For micro-enterprises, where the owner often embodies the entire strategic direction and operational execution, these personal capacities are inextricably linked to organizational performance. Adaptability, defined as the ability to adjust to changing external circumstances to

survive and maintain a competitive advantage, is a foundational component of business resilience (Saputra et al., 2022). For micro-enterprises, this involves being nimble in response to market signals, which may manifest as product modifications, service changes, or adjustments to pricing in line with shifting consumer behavior (Adisatya et al., 2020). Flexibility, often viewed as the capacity to utilize managerial capabilities and resources quickly, allows the firm to pivot operations, processes, and products to meet new requirements from customers and competitors (Zahara et al., 2023). These capabilities are directly influenced by the entrepreneur's orientation and willingness to embrace change and innovation.

This adaptive innovation, which includes improving, adapting, or creating new products and services, is frequently driven by the timely identification of customer needs and trends through direct communication (Anzules-Falcones & Sustainability, 2023). For micro-enterprises, this translation of market feedback into operational or product changes, a key component of entrepreneurial capability, is essential. By remaining flexible, a micro-enterprise can quickly introduce innovations that directly address evolving consumer desires, thereby setting the stage for increased customer satisfaction (Savitri et al., 2021).

Furthermore, the adaptive nature of a micro-enterprise allows it to incorporate customer feedback, tailor its offerings, and provide a personalized experience, all of which contribute to the perception of superior service quality and, consequently, higher customer satisfaction (Rahman et al., 2023).

**Service Quality**

Service quality is widely recognized as a fundamental element for any business aiming to achieve a competitive advantage and maintain long-term viability, a principle that is especially true for micro-enterprises (Ruth Simatupang et al., 2022). Empirical studies in developing economies consistently show a strong and positive relationship between service quality and customer

satisfaction in the SME sector (Sari, 2023). The traditional dimensions of service quality, such as Reliability, Responsiveness, Assurance, Empathy, and Tangibles, remain the core indicators upon which customers evaluate an enterprise's performance (Rahman et al., 2023). For micro-enterprises, where the service delivery is often highly personalized, customer perceptions of the staff's responsiveness, empathy, and ability to fulfill promises accurately (reliability) are crucial determinants of overall customer satisfaction (Sari, 2023). Moreover, perceived cleanliness and orderly organization of customer areas key aspects of the Tangibles dimension are critical determinants of service quality in service-oriented micro-enterprises (Vos et al., 2019) . Human and spatial crowding do not reduce customer satisfaction, indicating that perceived service quality can remain consistent even when many customers are served (Febi et al., 2024)

The relationship between entrepreneurial capability and service quality is theoretically linked through the dynamic capabilities framework, which suggests that an enterprise's ability to integrate and reconfigure its resources is key to achieving sustained performance (Vu, 2021). For instance, an entrepreneurially capable owner is more likely to implement business process automation, adopt digital tools, or continuously adapt service delivery protocols to enhance efficiency and customer experience, thereby proactively improving service quality ((Umami et al., 2023); Amadasun & Mutezo, 2025). Therefore, the owner's inherent entrepreneurial skills are a foundational driver for the firm's strategic focus on service excellence.

**Customer Loyalty**

Customer loyalty is an indispensable metric for the long-term success and sustainability of Micro, Small, and Medium Enterprises (MSMEs), which include micro-enterprises. Recent literature emphasizes that in today's highly competitive and dynamic market, particularly one characterized by the turbulence of the post-2020 era, consumer loyalty is crucial for survival (Ananda et al., 2024). Loyal customers are vital assets who not only provide stable, repeat

purchases, which are significantly more cost-effective than constant new customer acquisition, but also serve as active brand advocates through word-of-mouth and positive online reviews (Pramudya Ananda et al., 2024). Studies reiterate that this stability is paramount for micro-enterprises, which often operate with limited resources and face aggressive competition, making the retention of their existing customer base a key strategic priority x` The behavioral characteristics of loyal customers, such as increased spending, reduced price sensitivity, and positive recommendations, directly translate into enhanced business performance for the micro-enterprise (Saad et al., 2022).

A consistently strong link exists between customer satisfaction and the development of customer loyalty, positioning satisfaction as its primary precursor. For micro-enterprises, achieving high customer satisfaction is key, and it depends on a multitude of factors beyond the core offering, including product quality, fair pricing, and effective communication (Dian Septiana Sari, 2023). Empirical evidence across various sectors confirms that satisfied customers are far more likely to engage in repeat patronage, which is the foundational behavioral dimension of loyalty. Therefore, any study on micro-enterprise performance must account for customer satisfaction as the essential bridge leading to long-term customer loyalty (Pramudya Ananda et al., 2024). Customer satisfaction and loyalty behaviors are positively associated with firm-level financial performance, suggesting that loyal customers contribute to long-term business success (Mittal et al., 2023)

Furthermore, key entrepreneurial competencies such as market orientation, which focuses on comprehending customer needs, and a flexible, responsive operational approach are shown to positively and significantly impact customer loyalty (Udayana et al., 2021). This strong link suggests that a micro-enterprise owner's ability to innovate, take measured risks, and focus on customer intimacy is a crucial determinant in building a robust and loyal customer base.

Contemporary research suggests that the influence of an enterprise's capabilities is not always direct but can be mediated through strategic actions that enhance the customer experience. Essentially, the owner's entrepreneurial mindset provides the blueprint for superior value delivery and after-sale service, thereby making the journey from satisfaction to loyalty more robust and less susceptible to competitive pressures.

**Repeat Patronage**

Repeat patronage, often measured as repurchase intention, is a critical behavioral outcome that determines the long-term viability and sustainability of Micro-Enterprises (MEs). Recent literature emphasizes that retaining an existing customer base is significantly more cost-effective than constantly acquiring new ones, making repeat patronage a strategic imperative for small-scale businesses (Teo et al., 2025). The ability of MEs to foster a loyal customer base directly influences their revenue stability and profitability in highly competitive local markets (Rahman et al., 2023). For example, studies in sectors like the food industry highlight that the capacity to stimulate repeat purchases is a primary measure of success and is directly linked to an active presence and reputation within the community (Marie et al., 2025). Therefore, the process of securing repeat business is the ultimate objective of all customer-centric strategies adopted by the micro-entrepreneur.

The primary link to achieving repeat patronage is customer satisfaction (CS), which consistently serves as a critical mediator in the existing body of knowledge. According to the Expectancy-Disconfirmation Theory, satisfied customers are those whose experience with a product or service meets or exceeds their initial expectations. When a micro-enterprise successfully delivers on its promises, it creates a powerful emotional and rational bond that influences a customer's decision to return (Rahman et al., 2023). Empirical research across various contexts, including e-commerce platforms and retail, confirms a strong positive relationship:

higher customer satisfaction leads directly to higher repurchase intentions and positive word-of-mouth, which further fuels the growth of the ME (Teo et al., 2025). This foundational relationship underscores why the study of entrepreneurial capability must focus on its ability to enhance the customer experience.

The performance of an ME in achieving customer satisfaction and subsequent repeat patronage is heavily reliant on the owner's entrepreneurial capability. These capabilities which encompass the ability to innovate, be proactive, and manage resources effectively are the internal drivers that shape the customer-facing elements of the business, such as product quality and service quality (Rahman et al., 2023). Studies show that the entrepreneur's commitment to continuously improving service delivery, often through elements like cleanliness, employee service, and food quality, is what establishes a quality consumption experience (Jibran et al., 2025). Furthermore, a strong marketing capability, an essential entrepreneurial skill, enables the ME to understand customer needs, differentiate its offering, and effectively fulfill customer expectations, which directly correlates with positive re-patronage intentions (Jyoti et al., 2024).

A key element bridging customer satisfaction to sustained repeat patronage is the development of customer trust, a direct output of consistent entrepreneurial performance. Research indicates that when entrepreneurial capability leads to consistent service quality and predictable product outcomes, customers build trust in the micro-enterprise (Jyoti et al., 2024). This trust is particularly significant in small businesses where the relationship with the owner or staff is often personal. Moreover, the entrepreneur's capability to effectively implement Customer Relationship Management (CRM) practices involving personalized service and consistent engagement is crucial. Effective CRM, powered by an entrepreneurial mindset, allows MEs to strengthen the emotional connection with customers, transforming single transactions into a long-term relationship characterized by a strong intention for repeated business (Marie et al., 2025).

**Meeting Expectation**

Customer satisfaction is fundamentally rooted in the concept of meeting or exceeding customer expectations, which is a key measure of business success, particularly for Micro and Small and Medium Enterprises (MSMEs). Meeting expectations, often a direct input into the overall satisfaction construct, reflects the consumer's judgment of a product or service compared to their initial anticipations (Mahato, 2023). In the dynamic market, consumers are increasingly sophisticated, with their expectations for value and convenience constantly evolving, forcing businesses to continuously adapt their value proposition to achieve fulfillment (McKinsey, 2025). For micro-enterprises with limited resources, successfully fulfilling these expectations is paramount for building trust, ensuring customer loyalty, and driving repeat business, which are vital for sustainable performance.

A specific entrepreneurial capability that bridges the gap between internal resources and external customer outcomes is entrepreneurial marketing capability. This involves an agile, customer-centric approach that utilizes entrepreneurial traits to create, communicate, and deliver value to customers in real-time (Zahara et al., 2023). For micro-enterprises, this manifests in using digital resources and technology, such as digital marketing capabilities, to reach customers, facilitate real-time interactions, and manage relationships. By having these capabilities, micro-enterprises are better equipped to understand and respond to customer needs, transforming their inherent skills and knowledge into a competitive advantage that ensures the product or service aligns with, or surpasses, the customer's expectation of quality and convenience (Nguyen, 2025).

The post-2020 business landscape highlights the critical role of digital transformation as an enabler for entrepreneurial capability in the context of meeting expectations (Nguyen, 2025). Studies show that digital transformation can enhance dynamic capabilities, helping enterprises better perceive complex market demands, integrate resources for innovation, and ultimately

optimize customer relationship management to reduce over-reliance on a few customers (Liu et al., 2022). For micro-enterprises, embracing digital technologies such as e-commerce platforms and data analytics is crucial. This technological capability allows them to streamline operations, better understand consumer needs, and provide quick responses, all of which are essential actions that enhance customer experience and ensure their increasingly digital expectations are met (McKinsey, 2025).

**Age**

The demographic profile of an entrepreneur, particularly their age, is an important non-psychological characteristic that can influence both their entrepreneurial capabilities and the resulting success of their micro-enterprise, which often includes customer satisfaction as a key metric (Gunawan, 2024). The connection between the age of the entrepreneur and their business's performance is not always linear, with research suggesting a more complex relationship. For instance, older entrepreneurs are often cited as possessing more human, social, and financial capital due to accumulated experience, which theoretically enhances their management skills and ability to create successful entrepreneurship (Zhao et al., 2021). However, this older age group may also face challenges related to lower vigor or more conservative decision-making, contrasting with the high-innovation trends sometimes observed in younger entrepreneurs (Bai et al., 2022). The varying nature of entrepreneurial capability across different age groups can directly impact customer-facing strategies and, consequently, customer satisfaction.

Older entrepreneurs, possessing greater business experience, may rely on established relationship-building skills and a deeper understanding of market maturity to ensure customer satisfaction and loyalty (Zhao et al., 2021). Conversely, younger entrepreneurs are often closer to development frontiers and more willing to quickly identify and exploit new opportunities, which translates into an entrepreneurial capability geared toward innovation in products or services (Bai

et al., 2022). This focus on innovation and leveraging digital resources, such as digital marketing capabilities, is critical in post-pandemic recovery and is a key mechanism for reaching customers and achieving satisfaction in a turbulent environment (Zahara et al., 2023b).

Furthermore, the age of the consumer base itself acts as a critical moderator that dictates how the micro-enterprise's capabilities are perceived and how satisfaction is ultimately achieved. Research has shown that a customer's age cohort influences their attitudes and responses to a company's efforts. For instance, different generations place varying levels of importance on factors like environmental and social responsibility, which, in turn, mediates customer loyalty and satisfaction (Moisescu & Gică, 2020). Specifically, a customer's age has been found to moderate the relationship between satisfaction and loyalty, with older consumers sometimes being more tolerant or displaying significantly more loyal behavior than their younger counterparts for the same level of satisfaction (Zuratulraha et al., 2020).

These age-related dynamics necessitate that micro-enterprises, regardless of the owner's age, tailor their entrepreneurial capabilities to align with their target market's generational expectations. The entrepreneur's age can influence the type of products or services offered, the chosen marketing channels, and the emphasis placed on various service quality dimensions. For instance, older entrepreneurs with a traditional industry focus might need to consciously develop digital marketing capabilities.According to Zahara et al. (2023), to satisfy younger, digitally-native customers, while younger entrepreneurs must ensure that their innovation-driven approach does not compromise the consistent quality and reliable service valued by older, more loyal customer segments (Fadali Rahman et al., 2023b).

**Sex**

In terms of entrepreneurial capability, current literature points to disparities, particularly concerning psychological traits and access to resources. Studies suggest that while women often

exhibit strengths in competencies such as collaboration, creativity, and practical planning (Irina et al., 2024), they frequently report lower self-efficacy compared to their male counterparts, which can undermine entrepreneurial interest despite genuine ability (Irina et al., 2024). Furthermore, the structural environment contributes to differences, as women in micro-enterprises often face greater difficulties due to cultural stereotypes and a lack of access to financial resources, influencing their overall ability to overcome a hostile business environment (Durante et al., 2024). Conversely, some research indicates that an entrepreneur's female gender can positively impact product and process in small businesses, a key component of entrepreneurial capability (Zastempowski et al., 2021).

A study also reveals that the influence of sex extends to entrepreneurial intent and performance, which are closely tied to capability. For female entrepreneurs, factors like social norms often have a less direct positive impact on entrepreneurial intention compared to men, highlighting the impact of societal structures on their decision to pursue a business (Gomes et al., 2021). Conversely, for women, entrepreneurship is sometimes viewed as an escape from conservative social structures, providing an opportunity to exercise dominance and achieve personal fulfillment, which serves as a powerful entrepreneurial motivation (Raudeliūnienė & Matar, 2023). This shows that the motivation and driving force behind the capability and performance of micro-entrepreneurs can be inherently different based on sex.

The direct link between the entrepreneur's sex and customer satisfaction requires more explicit research in the micro-enterprise context, though related studies offer some insights. Customer satisfaction and loyalty can be influenced by demographic factors, including gender, as men and women often have different shopping expectations and consumption behaviors (Maryanti et al., 2022). For service-oriented businesses, the entrepreneur's gender may influence the customer's perception of the service provided. For example, research on technology-based

self-service found that among innovative consumers, men were more likely to continue using kiosks than women, indicating that men and women perceive technology-based services differently, which could apply to micro-enterprises adopting new technologies (Na et al., 2021). However, some studies on satisfaction and loyalty have found no significant difference between male and female consumers in a retail setting, suggesting the relationship is context-dependent (Maryanti et al., 2022).

Sex is often analyzed for its moderating role in the entrepreneurial process. Research suggests that gender significantly moderates the effect of personality traits—which are foundational to capability—on entrepreneurial behaviors like opportunity seeking and risk-taking (Cabusao, 2023). While direct moderation between entrepreneurial capability and customer satisfaction by sex is sparsely documented in current micro-enterprise literature, the significant gendered differences in entrepreneurial capabilities and consumer perceptions demonstrate that sex should be considered a crucial moderating variable. Including sex in the proposed study will therefore enrich the understanding of how entrepreneurial capabilities translate into positive customer experiences, providing a nuanced perspective that is sensitive to the unique social and psychological realities of male and female micro-entrepreneurs.

**Educational Attainment**

Educational attainment is increasingly recognized as a vital component of human capital, significantly influencing an individual's readiness and capacity for entrepreneurship. Higher levels of formal education, particularly those that include specialized business or entrepreneurship education, have been consistently linked to enhanced entrepreneurial capability. This is primarily because educational experiences equip individuals with essential knowledge, cognitive skills, and management abilities necessary for identifying opportunities, resource allocation, and strategic decision-making in complex environments (Mahmood et al., 2020). For micro-enterprises, where

the owner-manager is often the sole decision-maker, this educational foundation translates directly into the firm's functional competence, encompassing areas like financial literacy, marketing know-how, and overall business administration (Socioeconomic Research Portal for the Philip, 2025).

Beyond general knowledge, specific entrepreneurial education programs are designed to cultivate a distinct set of skills and an adaptive mindset, which are core elements of entrepreneurial capability. Research emphasizes that targeted training and coursework foster qualities such as creativity, innovation, and risk-taking propensity, all of which are critical for business success (Lao G, 2024). For instance, studies have shown that engaging in comprehensive entrepreneurial education leads to more adaptive, innovative mindsets and improves an individual's self-efficacy, or the belief in their ability to perform entrepreneurial tasks (Jiatong et al., 2021). This enhancement in practical and psychological competence, directly resulting from educational attainment and training, is foundational for a micro-enterprise's long-term resilience and performance.

The impact of educational attainment on entrepreneurial capability extends its influence to operational aspects crucial for market performance, particularly customer satisfaction. A better-educated entrepreneur is typically better positioned to implement sophisticated business practices that prioritize customer needs. Targeted training in customer service, as part of an entrepreneurial education framework, directly improves employee and owner-manager competencies in managing customer interactions and service quality (IIARD, 2025). Furthermore, enhanced financial literacy, often a product of formal education, ensures that entrepreneurs can make sound financial decisions that sustain the business, leading to reliable operations and, consequently, greater customer trust and a more consistent customer experience. This indirect yet

powerful link highlights that the capabilities acquired through education are instrumental in improving the value proposition delivered to the customer.

In the context of micro-enterprises, where resources are limited and the owner's personal capacity is paramount, educational attainment serves a critical mediating role. The skills acquired—from superior knowledge management processes to strategic planning—are instrumental in navigating the challenges of a competitive marketplace (Hussain & Li, 2022). While some studies acknowledge the importance of intrinsic qualities, the consensus in recent literature supports the view that education and training significantly boost the overall effectiveness of micro-enterprise owners (Saah, 2022). This enhanced effectiveness, or entrepreneurial capability, is what enables micro-enterprises to offer better product quality, more reliable service delivery, and stronger customer relationships—all primary drivers of customer satisfaction.

**Business Type**

Business type is pivotal, as the necessary entrepreneurial capabilities and customer satisfaction drivers often differ across sectors like culinary, manufacturing, or service. In the culinary sector, for example, a study on micro-enterprises highlighted that entrepreneurial finance had a stronger effect on business resilience during a crisis compared to other factors, challenging the conventional view of innovation as the main driver (Charisma et al., 2025). This suggests that for a culinary micro-enterprise, the entrepreneur's financial agility in managing resources and mitigating risk may be more critical to sustained operation and therefore consistent customer experience than rapid product innovation. Conversely, for a production-based micro-enterprise like a Batik company, customer satisfaction hinges heavily on product quality, price, and service as per the Expectancy-Disconfirmation Theory Rahman et al., 2023), necessitating entrepreneurial capability focused on supply chain efficiency and quality control.

Entrepreneurial capabilities, such as those related to marketing, innovation, and leadership, are consistently linked to better business outcomes. For instance, entrepreneurial marketing capability which includes customer intensity and value creation has been shown to significantly affect the performance of Micro, Small, and Medium Enterprises (MSMEs), which ultimately influences customer satisfaction (Sari, 2023). This capability is seen as an 'antidote' in turbulent market environments, driving the firm's capacity for strategic networking and ensuring that unique products or services satisfy customers' ever-changing tastes and preferences (Amadasun, 2025). This establishes a foundational link, suggesting that the skills and practices employed by the entrepreneur are directly instrumental in achieving positive customer experiences across different sectors.

Further, dynamic capabilities reinforces the need to differentiate findings based on the micro-enterprise's primary activity or business type. Studies on creative industries, a distinct business type, emphasize the importance of dynamic capability (DC), which includes the capacity to innovate and adapt to customer-favorable change, as a key driver of performance (Arif & Herawan, 2025) Here, the entrepreneur’s capability in leveraging a supportive entrepreneurial ecosystem (EE) and displaying entrepreneurial leadership (EL) directly impacts the business's ability to innovate and engage customers. However, the study on creative SMEs in East Java also showed that the effectiveness of the ecosystem varies, underscoring the context-specific strategies required for different business types to translate entrepreneurial capability into customer-centric performance (Arif & Herawan, 2025).

The distinction in entrepreneurial focus is also evident when comparing manufacturing/production micro-enterprises to service-oriented businesses. For instance, a general study on MSME performance found that while both entrepreneurial marketing and innovation capability (including product, service, and process innovation) are significant,

innovation capability had a greater overall influence (Sari, 2023). For a service-oriented micro-enterprise, this would imply that capabilities related to service innovation and building stronger customer relationships (a key component of entrepreneurial marketing) are paramount for customer satisfaction. In contrast, micro-enterprises categorized as traditional industries often require managerial and networking competencies to ensure basic business growth and consistent operation (Mejri et al., 2020), which is the foundation for meeting customer expectations.

**Years in Business**

The number of years in business matters because it shapes how entrepreneurial capability a business owner builds over time. Studies show that entrepreneurial orientation strengthens performance, both directly and through customer satisfaction Cuevas-Vargas et al. (2019), meaning that long-standing firms benefit from experience only if they continue developing proactive and innovative behaviors. (Partala et al., 2024) also noted that growth capability is strongly linked to a firm's intention to grow, highlighting that accumulated years in business contribute to strategic learning an important factor for micro-enterprises aiming to remain competitive.

Customer satisfaction and the nature of micro-enterprises further explain why years in business are important. As (Partala et al., 2024) found, entrepreneurial orientation boosts customer satisfaction, showing that maintaining strong customer relationships becomes even more critical as a business ages. Micro-enterprises, which make up "close to 95% of European firms" (Partala et al., 2024) rely heavily on consistent customer support, making years of experience a key advantage when paired with continued innovation. However, (Partala et al., 2024) also observed that "younger companies (max. 10 years)" often grow faster, suggesting that years in business can either strengthen or limit growth depending on how well entrepreneurial capability and customer satisfaction are sustained over time.

**1.3 Theoretical Framework**

This study is anchored on two key theoretical foundations: the SERVQUAL Model and Entrepreneurial Orientation (EO). The SERVQUAL Model, developed by Parasuraman et al. (1988), explains how customer satisfaction is shaped by the gap between service expectations and perceptions across dimensions such as tangibles, reliability, responsiveness, assurance, and empathy. It highlights that high service quality is a primary driver of satisfaction and loyalty. Complementing this, the concept of EO introduced by Miller (1983) and expanded by Covin & Slevin (1989) and Lumpkin & Dess (1996), captures the entrepreneurial behaviors of innovativeness, risk-taking, proactiveness, autonomy, and competitive aggressiveness that enable firms to respond effectively to market demands. Together, these theories provide a framework for assessing how entrepreneurial capability enhances service quality and, in turn, improves customer satisfaction among micro enterprises.

***SERVQUAL Model***

The SERVQUAL model, developed by Parasuraman et al. (1988), is one of the most widely used frameworks for assessing service quality and its relationship to customer satisfaction. It measures the gap between customers' expectations and their perceptions of actual service performance across five dimensions: tangibles, reliability, responsiveness, assurance, and empathy. When these dimensions are met or exceeded, customers are more likely to experience satisfaction and loyalty. Several studies confirm this link; for example, Ladhari (2009) emphasized that SERVQUAL is a robust predictor of satisfaction across industries, while Caruana (2002) found that service quality has a direct effect on customer loyalty through satisfaction. Recent studies further support this framework's relevance to micro and small enterprises.

Sukardi et al. (2022) found that gaps between customer expectations and perceived service quality indicate the need to enhance reliability, responsiveness, and empathy in

entrepreneurship services. Similarly, Siregar et al. (2024) revealed that improved service quality significantly boosts SME performance, suggesting that entrepreneurs can leverage quality-driven approaches to strengthen their capabilities and competitiveness. In the same vein, Mohd Ali et al. (2023) showed that consistent, high-quality service fosters customer satisfaction and supports long-term business growth. In the context of micro enterprises, entrepreneurial capability plays a key role in shaping service delivery innovative and proactive entrepreneurs can improve tangibles, ensure reliability, enhance responsiveness, build assurance, and foster empathy. Thus, applying SERVQUAL provides a strong theoretical foundation for understanding how entrepreneurial capability translates into superior service quality and sustained customer satisfaction.

***Entrepreneurial Orientation (EO)***

Entrepreneurial Orientation (EO) is a strategic construct that reflects a firm's tendency to innovate, take risks, and act proactively in pursuing opportunities. Introduced by Miller (1983) and later advanced by Covin & Slevin (1989), EO has become a widely studied framework in entrepreneurship and management research. Lumpkin & Dess (1996) further expanded EO into five dimensions innovativeness, risk-taking, proactiveness, autonomy, and competitive aggressiveness emphasizing its multidimensional nature. EO is especially vital for micro enterprises because it shapes how entrepreneurs identify opportunities, adapt to market changes, and create customer value. Prior studies have shown that EO positively affects firm performance and customer-related outcomes. For example, Rauch et al. (2009) found that EO contributes to business growth and customer satisfaction by fostering innovation and responsiveness, while Wiklund & Shepherd (2005) noted that proactive and innovative behaviors help firms better meet customer needs than their competitors.

Recent studies continue to highlight how Entrepreneurial Orientation (EO) enhances the capabilities of micro and small enterprises, particularly in improving customer satisfaction and

overall performance. Khan et al. (2021) found that EO strengthens entrepreneurial skills, which in turn boost small business success. Similarly, Chelliah et al. (2022) showed that when small firms embrace innovation and proactive strategies, they become more responsive to customer needs. Stock & Erpf (2023) also noted that EO encourages adaptability and creativity key traits that help entrepreneurs deliver more value to their customers. In the same vein, Perdana & Prasasti (2023) discovered that EO helps micro enterprises stay competitive by improving customer experience, while Nuryakin (2024) emphasized that it supports innovation and networking, allowing businesses to maintain quality service and customer satisfaction. In this study, EO serves as the foundation that connects entrepreneurial capability to customer satisfaction, showing how proactive, risk-taking, and innovative entrepreneurs can better anticipate customer needs, offer superior service, and build stronger customer loyalty in micro enterprises.

The integration of SERVQUAL and Entrepreneurial Orientation (EO) provides a robust framework for understanding how entrepreneurial behavior influences service quality and customer satisfaction in micro and small enterprises. EO through innovativeness, proactiveness, and risk-taking equips firms with the capability to continuously adapt, improve, and tailor services to meet customer expectations. Empirical studies support this link: EO positively affects customer satisfaction and mediates its impact on firm performance (Cuevas-Vargas et al., 2019), while in the hospitality sector, EO enhances service quality, which in turn strengthens organizational performance (Tricahyadinata, 2020) Together, these studies show that EO serves as the internal driver for service innovation and improvements, while SERVQUAL provides a structured lens to evaluate whether those efforts translate into higher-quality service and improved customer satisfaction.

**1.4 Schematic Diagram**

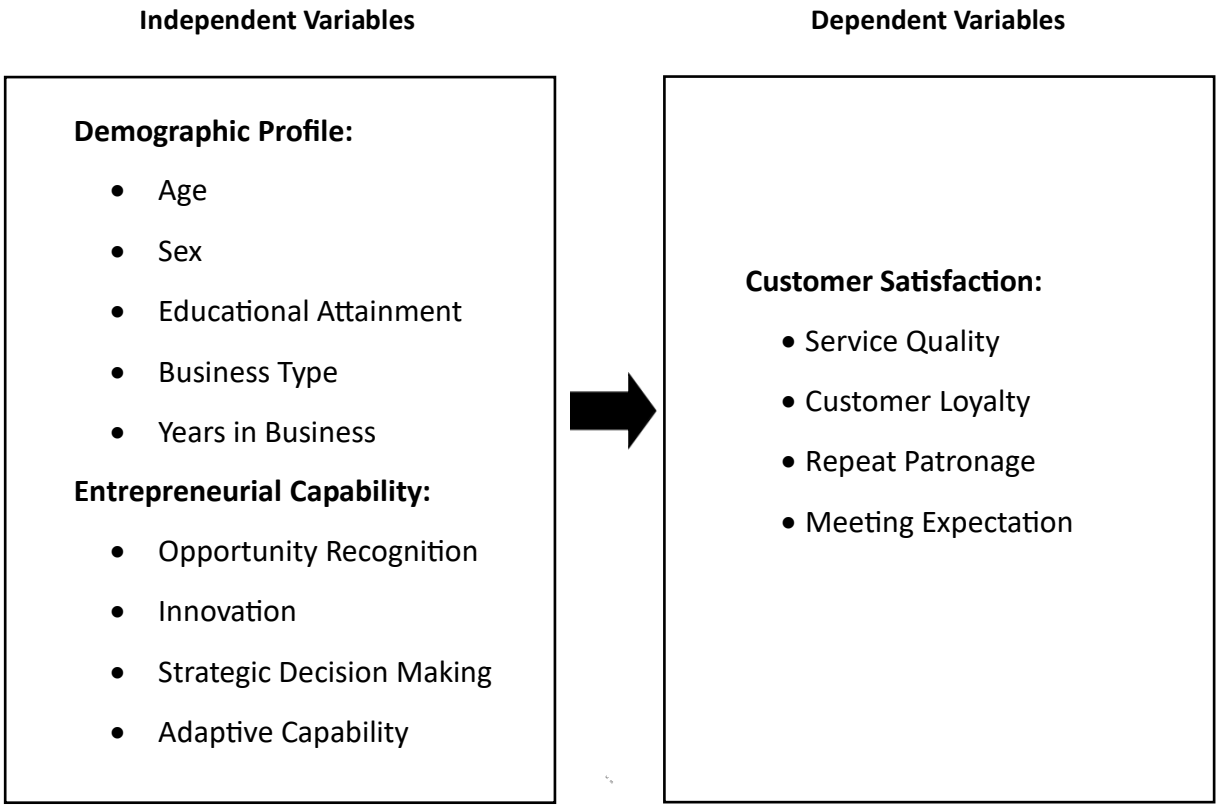



**Figure 1.**

The Schematic Diagram shows the relationship between the dependent and independent variables of the study.

It illustrates that the independent variables influence the dependent variables of the study which is entrepreneurial capabilities which in turn affect the dependent variables, namely the key indicators of customer satisfaction such as service quality, customer loyalty, repeat patronage and meeting expectation. This framework implies that entrepreneurial capability influence customer satisfaction.

**1.5 Statement of the Problem**

This study aims to assess the influence between entrepreneurial capability and customer satisfaction in micro enterprises.

Specifically, this study sought to answer the following questions:

1. What is the demographic profile of the respondents in terms of:

   1.1 Age;

   1.2 Sex;

   1.3 Educational attainment;

   1.4 Business type; and

   1.5 Years in Business?

2. What is the level of entrepreneurial capability among micro enterprise in terms of:

   2.1 Opportunity recognition;

   2.3 Innovation;

   2.4 Strategic decision-making; and

   2.6 Adaptive Capability?

3. What is the level of customer satisfaction in terms of:

   3.1 Service quality;

   3.2 Customer loyalty;

   3.3 Repeat Patronage; and

   3.4 Meeting expectations?

4. Is there a significant relationship between entrepreneurial capability and customer satisfaction among micro enterprises?

**Hypothesis**

The hypothesis guided the study and tested at $\alpha = 0.05$ level of significance.

***Null Hypothesis ($H_o$):*** There is no significant relationship between entrepreneurial capability and customer satisfaction among micro enterprises.

**1.6 Scope and Limitations**

This study focuses on assessing the influence of entrepreneurial capability specifically opportunity recognition, innovation, strategic decision-making, and adaptive capability on customer satisfaction among service-based micro enterprises in Buenavista, Agusan del Norte. The respondents are limited to owners of registered micro enterprises with assets not exceeding ₱3,000,000 and employing one to nine workers, who are directly involved in daily operations and customer interactions. The scope of the study is confined to the said locality; thus, the findings may not be generalizable to other areas with different business environments and socio-economic conditions. Moreover, the study is limited to selected variables and does not include other factors that may affect customer satisfaction such as pricing, competition, technology adoption, and government support. Data were gathered through self-reported questionnaires, which may be subject to response bias, and the cross-sectional design captures conditions only at a single point in time. External factors such as changes in customer behavior, market conditions, and regulatory policies are beyond the scope of the study.

**1.7 Definition of Terms**

**Adaptive Capability.** Refers to the ability of micro-enterprise owners to adjust business strategies, operations, products, or services in response to changes in customer needs, market conditions, and environmental challenges to remain competitive.

**Age.** Refers to the respondent's age group classified as 20–30 years old, 31–40 years old, 41–50 years old, or 51 years old and above.

**Business Type.** Refers to the category of service-based micro-enterprise operated by the respondent, such as retail services, personal care services, transportation services, food-related services, or other service-oriented businesses.

**Customer Loyalty.** Refers to customers' sustained preference for a business, demonstrated through continued support, recommendations, and repeated purchasing behavior over time.

**Customer Satisfaction.** Refers to the degree to which customers feel contented with the products or services provided by the business based on the fulfillment of their needs and expectations.

**Educational Attainment.** Refers to the highest level of formal education completed by the respondent, categorized as high school level, high school graduate, college level, or college graduate.

**Entrepreneurial Capability.** Refers to the overall ability of micro-enterprise owners to manage and grow their businesses through opportunity recognition, innovation, strategic decision-making, and adaptive capability.

**Entrepreneurial Orientation (EO) Model.** Refers to a theoretical framework that explains entrepreneurial behavior through dimensions such as innovativeness, risk-taking, and proactiveness, which guide micro-enterprise owners in identifying opportunities, adapting to market changes, and creating customer value.

**Innovation.** Refers to the introduction or improvement of products, services, processes, or business practices aimed at enhancing competitiveness and delivering greater value to customers.

**Meeting Expectations.** Refers to the extent to which the products or services provided by the business meet or exceed customer standards in terms of quality, reliability, and responsiveness.

**Micro-Enterprises.** Refers to registered businesses with total assets not exceeding ₱3,000,000 and employing one to nine workers, in accordance with the Department of Trade and Industry (DTI) classification.

**Opportunity Recognition.** Refers to the ability of micro-enterprise owners to identify, assess, and act upon potential business opportunities arising from market trends, customer needs, and environmental changes.

**Repeat Patronage.** Refers to customers' tendency to return and continue purchasing from the business due to positive past experiences and satisfaction.

**Service Quality.** Refers to the level of excellence in delivering products or services as perceived by customers in terms of reliability, responsiveness, assurance, empathy, and physical facilities.

**SERVQUAL Model.** Refers to a service quality framework that explains customer satisfaction by evaluating the gap between customer expectations and perceived service performance across five dimensions: tangibles, reliability, responsiveness, assurance, and empathy.

**Sex.** Refers to the biological classification of the respondent as male or female.

**Strategic Decision-Making.** Refers to the ability of micro-enterprise owners to make informed, goal-oriented, and long-term business decisions that influence overall business performance and sustainability.

**Years in Business.** Refers to the length of time the micro-enterprise has been operating, classified as 3–5 years, 6–7 years, 8–9 years, or 10 years and above.

# CHAPTER 2

# METHODOLOGY

This chapter presented Research Design, Research Materials and Methods, Research Environment, Population and Sample, Research Data and Analysis Plan, and Research Ethical Standards.

## 2.1 Research Design

This study employed a descriptive quantitative research design to examine the influence of entrepreneurial capability on customer satisfaction among service-based micro enterprises in Buenavista, Agusan del Norte. A quantitative approach was appropriate as the study focused on measuring variables using numerical data and determining relationships through statistical analysis. Data were gathered using a structured survey questionnaire, which allowed for the systematic collection of measurable responses from the respondents. The design enabled the researchers to describe the current level of entrepreneurial capability and customer satisfaction and to analyze the relationship between these variables objectively and efficiently within the target population.

## 2.2 Research Locale

The Municipality of Buenavista in Agusan del Norte serves as a strategic research locale due to its expanding ecosystem of service-based micro enterprises. As a first-class municipality located near Butuan City, Buenavista benefits from increased commercial activity, market access, and customer flow, which heighten competition among local businesses. Most micro enterprises in the area are owner-managed and highly dependent on direct customer interaction, making entrepreneurial capability a key factor in service quality, adaptability, and customer satisfaction. The municipality's growing exposure to digitalization and changing customer expectations further underscores the importance of opportunity recognition, innovation, strategic decision-making,

and adaptive capability, making Buenavista a suitable setting for examining the relationship between entrepreneurial capability and customer satisfaction in a developing local economy.

### 2.3 Research Environment, Populations, and Sample

**Table 1.** *Distribution of Service-Based Micro-Enterprise Respondents*

| Type of Service-Based Micro Enterprise | Population | Sample | Percentage |
|---|---|---|---|
| Retail Services | 540 | 170 | 64.4% |
| Entertainment and Recreation Services | 30 | 9 | 3.4% |
| Communication and Broadcasting Services | 29 | 9 | 3.4% |
| Financial and Banking Services | 18 | 6 | 2.3% |
| Transportation and Logistics Services | 18 | 6 | 2.3% |
| Water Purifying and Refilling Services | 15 | 5 | 1.9% |
| Health, Medical, and Wellness Services | 13 | 4 | 1.5% |
| Personal Care Services | 12 | 4 | 1.5% |
| Real Estate Services | 12 | 4 | 1.5% |
| Laundry Services | 12 | 4 | 1.5% |
| Construction, Engineering, and Surveying Services | 11 | 3 | 1.1% |
| Other Service-Based Micro Enterprises | 129 | 41 | 15.5% |
| **Total** | **839** | **264** | **100%** |

The respondents of this study were the owners of service-based micro enterprises operating in the Municipality of Buenavista, Agusan del Norte. A total of 264 respondents were selected from a population of 839 registered service-based micro enterprises identified through records from the municipal offices.

The selection of respondents was based on the following criteria: (1) the respondent must be the owner of the enterprise; (2) the business must be classified as a micro enterprise, with assets not exceeding ₱3,000,000 and employing one to nine workers, in accordance with the Department of Trade and Industry (DTI) classification; (3) the respondent must be directly involved in daily operations and customer interactions; and (4) the enterprise must have been operating for at least three (3) years. These criteria ensured that the respondents possessed adequate

experience and firsthand knowledge necessary to assess entrepreneurial capability and customer satisfaction.

To ensure fair representation across different service sectors, the study employed stratified random sampling. The population was grouped according to the type of service-based micro enterprise, and respondents were randomly selected from each stratum in proportion to its size. This sampling technique was appropriate for the study, as entrepreneurial capability and customer satisfaction may vary across service sectors. The use of stratified random sampling enhanced the representativeness and reliability of the data and ensured that the selected 264 respondents met the established standards and were suitable for the objectives of the study.

The primary research instrument for this study is a self-made structured questionnaire designed to assess the entrepreneurial capability of micro-enterprise owners and customer satisfaction in their businesses. It has three parts: Part I covers respondents' demographic profiles; Part II measures entrepreneurial capability through opportunity recognition, innovation, strategic decision-making, and adaptive capability; and Part III measures customer satisfaction via service quality, customer loyalty, repeat patronage, and meeting expectations.

To ensure validity and reliability, the questionnaire will undergo expert validation by the panelists and research adviser, with revisions made based on their feedback. Pilot testing will then be conducted with minimum of 30 service-based micro-enterprise owners in a neighboring municipality with similar characteristics to Buenavista, Agusan del Norte. These respondents will not be part of the main study. The questionnaires will be personally distributed at their business locations to assess item clarity, ease of understanding, and completion time. Feedback from the pilot test will guide final refinements before data collection.

**2.4 Research Data and Analysis Plan**

The researchers first draft a formal request to obtain the list of micro-enterprise owner in the municipality of Buenavista. This letter was reviewed and approved by the research adviser and to our dean before being submitted to the respective municipal office.

**Letter of Approval.** The researchers will first prepare a formal letter requesting permission to conduct the study. This letter will be reviewed and approved by the research adviser and the Dean of the College before it is submitted to the Municipal Mayor of Buenavista, Agusan del Norte, and other relevant offices, such as the Business Permit and Licensing Office (BPLO) and the Department of Trade and Industry (DTI). This step will ensure the study's legitimacy and facilitate access to registered service-based micro-enterprises in the municipality.

**Coordination with Concerned Offices.** Upon approval, the researchers will coordinate with the municipal and barangay offices to obtain a validated list of service-based micro-enterprises and identify qualified respondents. This coordination will ensure that only eligible micro-enterprise owners who are directly involved in daily operations and customer interactions will participate in the study.

**Orientation.** The researchers will conduct an orientation session with the identified respondents to explain the objectives, scope, and significance of the study. During the session, the procedures for data collection will be clearly discussed. Ethical considerations such as voluntary participation, confidentiality, and the right to withdraw from the study at any time without penalty will also be emphasized.

**Distribution of Informed Consent Form.** After the orientation, informed consent forms will be distributed to the respondents. The researchers will ensure that each participant fully understands the content of the consent form before signing. Only those who voluntarily agree to participate and provide written consent will be included in the study.

**Distribution of Questionnaire.** The researchers will personally distribute the survey questionnaires to the respondents. Clear instructions will be provided to guide respondents in answering the questions accurately and honestly. Sufficient time will be allotted to allow respondents to complete the questionnaire without pressure or interruption.

**Retrieval of the Questionnaire and Consent Form.** After the designated response period, the researchers will personally retrieve the completed questionnaires and consent forms. Each questionnaire will be checked for completeness to ensure that all items are answered. In cases where clarification is needed, the researchers will courteously coordinate with the respondent to resolve any unclear responses.

**Gathering of Data.** The collected data will be organized, coded, and tabulated in preparation for statistical analysis. All information will be kept confidential and will be used strictly for academic and research purposes. Ethical standards will be observed throughout the entire data gathering process to maintain the integrity of the study.

The data collected from the survey will be analyzed using appropriate statistical tools. Descriptive statistics such as frequency, percentage, weighted mean, and standard deviation will be used to summarize and interpret the data on entrepreneurial capability and customer satisfaction. To determine the relationship between the two variables, correlation analysis will be employed. These statistical techniques will help in interpreting the results accurately and in verifying whether entrepreneurial capability significantly influences customer satisfaction among micro enterprises in Buenavista.

**Statistical Treatment.** The data gathered from the survey questionnaires will be collected, organized, tabulated, and analyzed using the following statistical tools:

**Frequency and Percentage.** This statistical tool was used to describe the demographic profile of the respondents in terms of age, sex, educational attainment, business type, and years

in business. It provided a clear presentation of the distribution of respondents across the different categories.

**Weighted Mean.** This statistical tool was used to determine the level of entrepreneurial capability and the level of customer satisfaction among service-based micro enterprises. It was applied to the Likert-scale responses to compute the average level of agreement for each indicator, including opportunity recognition, innovation, strategic decision-making, adaptive capability, service quality, customer loyalty, repeat patronage, and meeting expectations.

**Pearson's Correlation Coefficient.** This statistical tool was used to determine the strength and direction of the relationship between entrepreneurial capability and customer satisfaction. The test was conducted at the 0.05 level of significance to assess whether a significant relationship exists between the two variables among service-based micro enterprises in Buenavista, Agusan del Norte.

**2.5 Ethical Standard**

**A. Protection of Intellectual Property Rights (IPR)**

This study respects the intellectual property rights of all contributors. It does not involve the creation of any new technologies, processes, or products that would require patent protection. Any original materials produced, such as survey instruments and data analysis tools, are protected under relevant intellectual property laws. All third-party sources, including literature and secondary data, have been properly cited. Since this study did not involve the creation of any brand, logo, or symbol, trademark registration is not applicable.

**B. Informed Consent**

Micro-enterprise owners who participated in this study were informed about the study's purpose, procedures, potential risks, and benefits. Written consents were obtained from all

respondents to confirm their voluntary involvement and understanding. Since this study involved only human respondents, additional ethical approvals for animal trials were not required.

**C. Data Privacy and Confidentiality**

This study strictly adhered to the Data Privacy Act of 2012 (RA 10173) in the Philippines. Personal information, including names and demographic details, was collected only with explicit respondent's consent and remained confidential. All data was anonymized to protect respondent's identities. Digital records were stored in password-protected files, while physical copies were secured in locked cabinets accessible only to the research team. The data collected will be safely discarded once the study has been completed. Any digital files will be destroyed forever from any storage device, and any printed documents will be shredded to guarantee confidentiality

**D. Voluntary Participation and Freedom to Withdraw**

Participation in the study was entirely voluntary, ensuring that all respondents are fully informed of their rights. Respondent's were explicitly notified of their right to withdraw from the research at any stage, without facing any penalties or negative consequences. Recruitment processes strictly avoided any form of undue pressure or coercion. As no animals were involved in this study, ethical considerations were focused solely on human respondents, ensuring adherence to the highest ethical standards throughout.

**E. Minimization of Harm and Risk Management**

To minimize harm to respondents and ensure their well-being, a risk assessment was conducted to identify and mitigate potential physical, psychological, emotional, and logistical risks. Respondents were informed of their right to withdraw from the study at any time without penalty if they experience discomfort or inconvenience.

To address logistical harm, the survey questionnaires will be personally distributed to respondents at their place of business and scheduled outside peak work hours or during mutually

agreed free periods to avoid disrupting business operations. The questionnaire is brief and requires approximately 10–15 minutes to complete, ensuring that respondents are not required to stop their work. These measures help prevent interference with respondents' work schedules and income-generating activities.

Support services, including referrals to nearby health centers, were communicated during the informed consent process. As no animal subjects were involved, the ethical principles of the 3Rs were not applicable.

**F. Beneficence and Contribution to Knowledge**

This study is expected to provide valuable insights into the influence of entrepreneurial capabilities on customer satisfaction within micro-enterprises, contributing to both academic research and practical knowledge. The findings will be made available to participants upon request.

**G. Justice and Fair Participant Selection**

Participants in this study were selected based on clear and fair inclusion criteria to ensure justice and equal treatment. Only owners of registered service-based micro enterprises in Buenavista, Agusan del Norte were included. The enterprises met the DTI classification for micro enterprises, with assets not exceeding ₱3,000,000 and employing one to nine workers. Respondents were also required to be directly involved in daily business operations and customer interactions and to have at least three (3) years of business operation experience.

Selection was conducted through random sampling, ensuring that all eligible service-based micro enterprises had an equal opportunity to be included. No group was unfairly favored, burdened, or excluded, and participation was entirely voluntary. These measures ensured ethical, unbiased, and representative participant selection aligned with the objectives of the study.

**H. Data Integrity and Accuracy**

To ensure the accuracy and trustworthiness of the study results, the standard procedures were followed during data collection and analysis. All findings were thoroughly reviewed to minimize errors and reduce potential bias. Any limitations, such as the number of respondents or other influencing factors, were clearly identified to maintain transparency and integrity. To address these limitations, specific criteria were established for respondents selection, responses were kept confidential to promote honesty, and data were verified for accuracy. The results were interpreted with caution, and recommendations were made strictly based on the study's supported findings.

**I. Transparency and Honesty in Reporting**

The study findings were reported truthfully, with all sources properly cited, and there was no manipulation of data. Both positive and negative results were presented to ensure an honest and transparent representation of the findings. To uphold research integrity, peer debriefing sessions were conducted with fellow researchers and academic mentors throughout the study. These sessions ensured that interpretations of the data were unbiased and aligned with the research objectives. Additionally, all stages of data analysis and decision-making were documented, allowing for future verification and audit. This process strengthened accountability and ensured that conclusions were based solely on factual evidence and sound analytical procedures.

**J. Use of Patented or Copyrighted Materials**

The study did not use any patented technologies or copyrighted materials without permission. All references to literature and software used were appropriately cited, ensuring compliance with copyright standards.

**K. Ethical Considerations for Human Trials**

Respondents in this study were thoroughly informed about all potential risks and benefits associated with their participation. In the unlikely event that any risks had arisen, appropriate

support services had been made readily available to assist them. Furthermore, ethical clearance for the study was obtained, ensuring adherence to the highest ethical standards. It is important to note that this study did not involve the use of animals.

**L. Responsible Use of AI and Related Technologies**

The study integrated AI tools, such as ChatGPT, to support various stages of the research process. ChatGPT was employed to help summarize findings, facilitating the efficient handling of large volumes of data. Grammarly was used to maintain grammatical accuracy and clarity in the documentation. To maintain data integrity, all AI-generated outputs were reviewed for accuracy and relevance. Oversight was maintained to ensure AI tools complemented, rather than replaced, human analysis.

**M. Ethical Clearance and Institutional Approval**

The study received ethical approval from the relevant institutional review board. Approval was granted after ensuring that all necessary ethical guidelines concerning participant protection, data privacy, and intellectual property rights were followed.

## SURVEY QUESTIONNAIRE

## ASSESSING THE INFLUENCE OF ENTREPRENEURIAL CAPABILITY ON CUSTOMER SATISFACTION AMONG MICRO ENTERPRISES

**Part I – Demographic Profile.** Focuses on gathering respondents' demographic profile.

Direction*:* Please answer the questionnaire honestly and without any mental reservations by ticking (✓) the appropriate boxes. Your responses will be treated with utmost concern and confidentiality.

**Name** (Optional): _____

**Age:**

☐ 20-30 years old
☐ 31-40 years old
☐ 41-50 years old
☐ 51 years old and above

**Sex:**

☐ Male
☐ Female

**Educational Attainment:**

☐ High School Level
☐ High School Graduate
☐ College Level
☐ College Graduate

**Type of Business:**

☐ Retail Services
☐ Entertainment & Recreation Services
☐ Communication & Broadcasting Services
☐ Financial & Banking Services
☐ Transportation & Logistic Services
☐ Water Purifying & Refilling Services
☐ Health, Medical & Wellness Services
☐ Personal Care Services
☐ Real Estate Services
☐ Laundry Services
☐ Construction Engineering and Surveying Services
☐ Other Serviced-Based Micro Enterprises

**Years in Business:**

☐ 3-5 Years in business
☐ 6-7 Years in business
☐ 8-9 Years in business
☐ 10 Years and above in business

**Part II – Entrepreneurial Capability.** This section aims to determine the **level of entrepreneurial capability** among micro enterprise.

**Direction:** Carefully read each statement and indicate your response by placing a check mark (✓) in the box that corresponds to your answer using the scale below.

| SCALE | DESCRIPTION | INTERPRETATION |
|---|---|---|
| **4** | **Strongly Agree (SA)** | The statement is **completely true or consistently practiced**. |
| **3** | **Agree (A)** | The statement is **true most of the time or usually practiced**. |
| **2** | **Disagree (D)** | The statement is **seldom true or occasionally practiced**. |
| **1** | **Strongly Disagree (SD)** | The statement is **not true or never practiced**. |

| **A. Opportunity Recognition** | **(SA) 4** | **(A) 3** | **(D) 2** | **(SD) 1** |
|---|---|---|---|---|
| 1. New business opportunities within the community are easily identified. | | | | |
| 2. Market trends are regularly monitored to generate new business ideas. | | | | |
| 3. My experience helps me identify improvements in products or services. | | | | |
| 4. Customer needs that others often overlook are recognized in my business. | | | | |
| 5. Profitable opportunities are recognized before competitors discover them. | | | | |
| 6. Changes in customer preferences guide my business decisions. | | | | |
| 7. Simple ideas are developed into practical and viable business opportunities. | | | | |
| **B. Innovation** | **(SA) 4** | **(A) 3** | **(D) 2** | **(SD) 1** |
| 1. New or improved products and services are introduced in my business. | | | | |
| 2. Innovative approaches are used to enhance my business operations and efficiency | | | | |
| 3. Creative ideas are developed and applied to help my business stand out from competitors | | | | |
| 4. Technology is used in my business to improve the quality of products or services. | | | | |
| 5. Customer feedback is consistently gathered to inspire product or service improvements. | | | | |
| 6. Creative problem-solving is encouraged to improve business performance and attract customers | | | | |
| 7. Time and effort are invested to explore new ideas that can lead to unique products or services. | | | | |

| **C. Strategic Decision Making** | **(SA) 4** | **(A) 3** | **(D) 2** | **(SD) 1** |
|---|---|---|---|---|
| 1. Business decisions in my enterprise are made based on clear goals and well-defined plans. | | | | |
| 2. Possible risks are carefully assessed before making major business decisions. | | | | |
| 3. Long-term outcomes are always considered before finalizing important business plans. | | | | |
| 4. Business strategies are adjusted in response to changes in market conditions. | | | | |
| 5. Customer feedback and data are used to support the creation of effective business strategies. | | | | |
| 6. Business plans are regularly reviewed to ensure that goals and targets are being achieved. | | | | |
| 7. Reliable advice or credible information is sought before making key business decisions. | | | | |
| **D. Adaptive Capability** | **(SA) 4** | **(A) 3** | **(D) 2** | **(SD) 1** |
| 1. The business adjusts its strategies and operations in response to changes in the environment | | | | |
| 2. The ability to adapt and innovate helps the business maintain a competitive edge. | | | | |
| 3. The owner's entrepreneurial skills and strategic mindset help the business remain competitive in dynamic markets. | | | | |
| 4. Strong entrepreneurial competencies, such as strategic planning and opportunity recognition, contribute to improved business performance. | | | | |
| 5. The business can quickly adapt to changes in the external environment to maintain competitiveness. | | | | |
| 6. The business modifies its products, services, or pricing based on market signals and customer behavior. | | | | |
| 7. The business responds quickly to customer needs and market demands to remain relevant. | | | | |

## Part III – Customer Satisfaction

This section aims to measure the **level of customer satisfaction.**

| **E. Service Quality** | **(SA) 4** | **(A) 3** | **(D) 2** | **(SD) 1** |
|---|---|---|---|---|
| 1. Customers often mention that the quality of my products or services meets their expectations. | | | | |
| 2. *Customer inquiries or concerns are addressed within a reasonable amount of time.* | | | | |
| 3. Cleanliness and organization are always maintained in the area where customers are served. | | | | |
| 4. Service quality remains consistent even when there are many customers to serve. | | | | |
| 5. *Efforts are made to keep service quality consistent across all customers.* | | | | |
| 6. Innovative tools or technologies are used to enhance service quality and efficiency. | | | | |
| 7. My business continually seeks new ways to improve service quality and meet customer needs. | | | | |
| F. **Customer Loyalty** | **(SA) 4** | **(A) 3** | **(D) 2** | **(SD) 1** |
| 1. Customers frequently make repeat purchases of my products or services. | | | | |
| 2. Customers often recommend the business to others through word-of-mouth or online platforms. | | | | |
| 3. Loyal customers tend to spend more and are less affected by changes in price. | | | | |
| 4. The business values loyal customers as contributors to long-term business performance. | | | | |
| 5. Customer satisfaction often leads to repeat patronage and continued support. | | | | |
| 6. Providing fair pricing, product quality, and good communication helps maintain customer satisfaction and loyalty. | | | | |
| 7. Flexibility and responsiveness in serving customer needs help sustain their loyalty to the business. | | | | |

| **G. Repeat Patronage** | **(SA) 4** | **(A) 3** | **(D) 2** | **(SD) 1** |
|---|---|---|---|---|
| 1. Returning customers often mention that their previous experience with the business was satisfying. | | | | |
| 2. Customers are regularly informed about new or updated products and offers. | | | | |
| 3. Some customers continue to buy from the business even with other options available. | | | | |
| 4. The presence of repeat buyers is seen as a sign of customer satisfaction and loyalty. | | | | |
| 5. Effective marketing helps the business understand customer needs and influences repeat buying behavior. | | | | |
| 6. Consistent and high-quality service builds trust that motivates customers to buy again. | | | | |
| 7. Maintaining good relationships with customers strengthens their intention to return for future purchases. | | | | |
| **H. Meeting Expectation** | **(SA) 4** | **(A) 3** | **(D) 2** | **(SD) 1** |
| 1. The business ensures that the products and services provided match customer needs and expectations. | | | | |
| 2. Business occasionally exceeds what customers initially expect. | | | | |
| 3. Digital tools and platforms are used to communicate and manage relationships with customers. | | | | |
| 4. The business adapts to customer comments and changing demands through innovation or service adjustments. | | | | |
| 5. Digital transformation helps the business better understand and respond to complex customer needs. | | | | |
| 6. The business uses e-commerce or digital systems to meet customers' evolving digital expectations. | | | | |
| 7. The business consistently fulfills commitments or and responsive to promises made to customers. | | | | |

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| Junior Organization of Business Speculators | **BSE-3 MAYOR** |

**CURRICULUM VITAE**



**name:** ELMER JOHN D. SATORRE
**ADDRESS:** Purok 1, Malicato, Las Nieves, Agusan Del Norte
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**Personal Information**

| | |
|---|---|
| Sex | : Male |
| Date of birth | : March 12, 2005 |
| Height | : 150cm |
| Weight | : 51kg |
| Civil Status | : Single |

**Educational Attainment**

| | |
|---|---|
| Elementary | : Agyabao elementary school (2014-2015) |
| Secondary | : Las Nieves National high school (2018-2019) |
| Tertiary | : Las Nieves National high school (2020-2021) |